



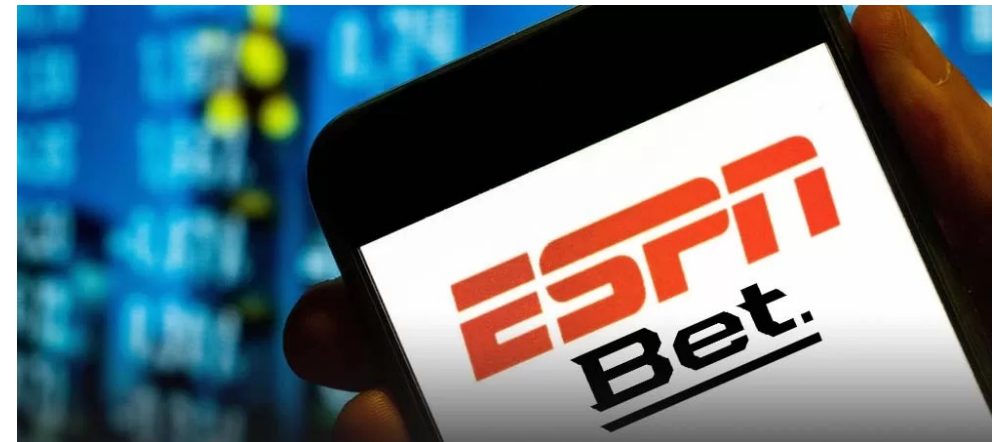
Sports Betting

SPM261 Introduction to Sport Management



Disney prepares sports betting push

- Mouse will be more aggressive in sports betting, namely by exploring partnerships for ESPN.
- ESPN has so far avoided operating its own sportsbook, but is reportedly seeking around **\$3 billion in a multiyear deal** to attach its name to an existing sportsbook.
- The U.S. sports betting market could grow to **\$37 billion by 2025**, according to investment manager Ark Invest.
- Disney's broadcast rights include NFL, MLB, NBA, NHL, Wimbledon, PGA Tour, and LaLiga. The company is spreading its sports broadcasts beyond ESPN to ABC and Hulu.



Penn Entertainment to rebrand sportsbook as ESPN BET

- ESPN has signed a licensing deal with **Penn Entertainment** to create ESPN BET
- Penn agreed to pay ESPN \$1.5 billion in cash over 10 years
- Grant ESPN \$500 million of warrants to purchase 31.8 million common shares of Penn
- In the US sports betting market, DraftKings and FanDuel command most of the sportsbook outside of Nevada, with 37% and 35%, respectively.
- **ESPN Bet has 3.2% market share**
- BetMGM 8%
- Caesars Entertainment 5%



ESPN BET officially shut down; rebranded to theScore Bet

- ESPN partnered with DraftKings as official sportsbook
- theScore Bet doesn't have a deal with ESPN

ESPN NFL NCAAF MLB NBA Soccer WNBA NHL More Sports Watch Fantasy Where to Watch

NLWC - Game 3 • Series tied 1-1

Philadelphia Phillies 88-74, 45-36 Away **Tomorrow** 2:00 PM NBC **Atlanta Braves** 94-68, 52-29 Home

Matchup Predictor

40.3% 59.7%

According to ESPN Analytics

Batting Leaders

Home Runs

Kyle Schwarber 45 HR .232 AVG 97 RBI
Matt Olson 41 HR .251 AVG 93 RBI

Batting Average

Bryce Harper .269 AVG .380 OBP .485 SLG
Michael Harris II .294 AVG .321 OBP .491 SLG

Runs Batted In

Kyle Schwarber 97 RBI 45 HR .232 AVG
Matt Olson 93 RBI 41 HR .251 AVG

[View All Stats](#)

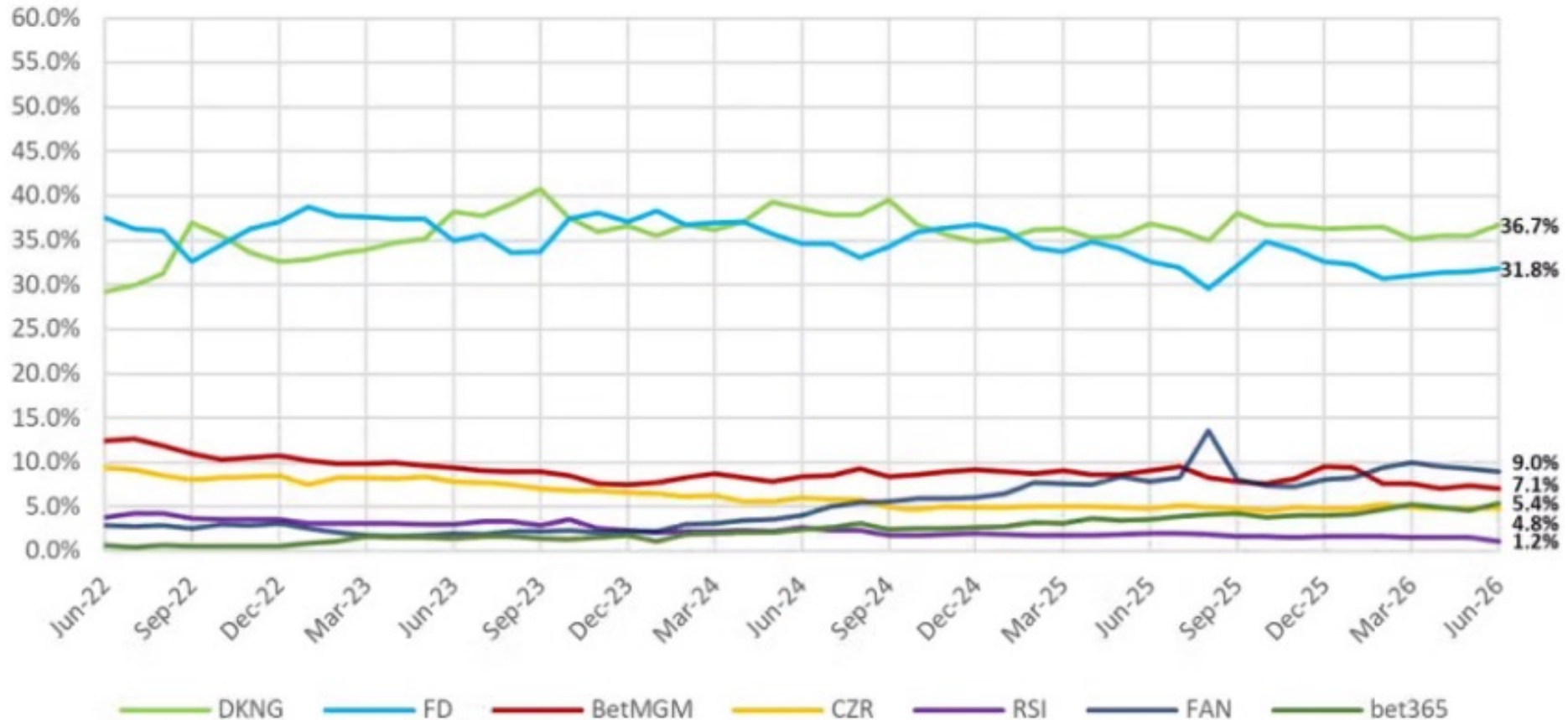
Game Odds Odds by **DRAFTKINGS**

	2:00 PM	Open	ML	Total	RL
PHI (88-74)	-106 ML	-116	o7 -116	-1.5 +152	
ATL (94-68)	u7 -118	-104	u7 -104	+1.5 -184	

[See More Odds and Props](#)

Sports Betting Mobile Handle Market Share (outside of NV)

Sports Betting Mobile Handle Market Share (outside of NV)



Handle, GGR, & Tax Rate by State (Top 5)

State	Online Launch	2025 Handle	2025 GGR	GGR Tax Rate (2026)
New York	Jan 2022	\$26.3B	\$2.56B	51%
Illinois	Jun 2020	\$15.5B	\$1.60B	20-40% graduated + per-wager fee
New Jersey	Aug 2018	\$12.2B	\$1.19B	19.75% (raised from 13% in 2025)
Ohio	Jan 2023	\$9.5B	\$1.10B	20%
Pennsylvania	May 2019	\$9.0B	\$0.86B	36%

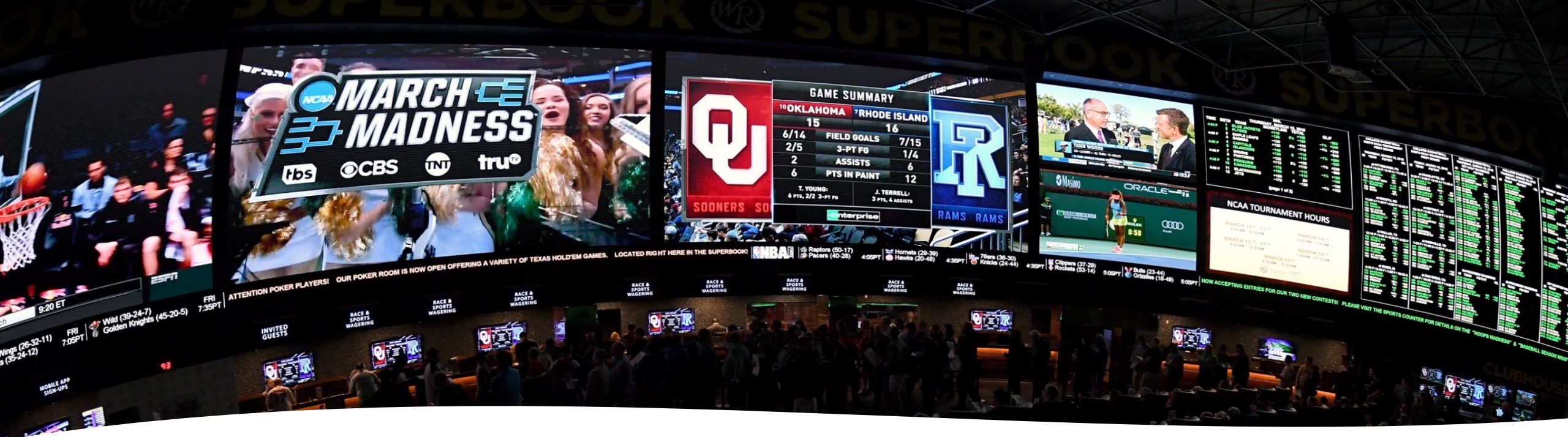
US Total 39 Jurisdictions- Handl: \$166.9B & GGR : \$16.96 B

Sports Betting

- Professional and Amateur Sports Protection Act (PASPA, 1992-2018)
- **Individual states do determine whether and how to legalize sports betting**
- Is this future of sports business?
- Sports analytics, technology, etc.

<https://www.marketwatch.com/press-release/online-sports-betting-market-size-growth-2021-global-trend-industry-news-industry-demand-business-top-key-players-update-business-statistics-and-research-methodology-by-forecast-to-2027-2021-07-22>



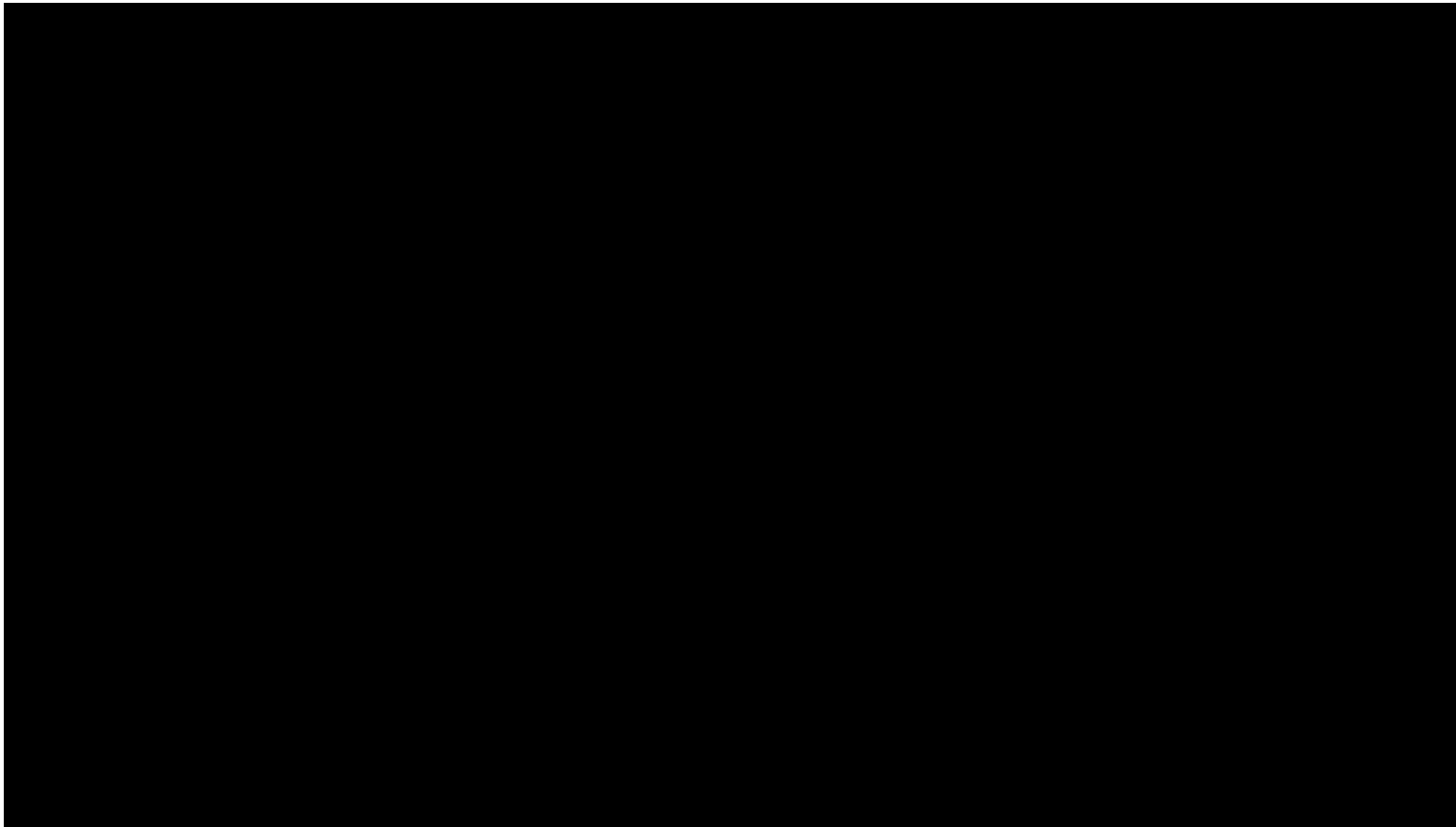


- Nevada was the only state in the US with full-scale legal sports wagering
- Prior to 1992, sports betting was not allowed in Atlantic City, NJ.
- For decades, Atlantic City was the only US location outside Nevada to have legal casinos.
- 2011-2018: NJ voters and lawmakers repeatedly attempted to legalize sports betting
- Murphy vs NCAA (2018)
- NJ wanted to legalize it vs PASPA prevented it from doing so
- The Supreme court addressed the principles of federalism, particularly the Tenth Amendment, which reserves powers not delegated to the federal government to the states.
- PASPA violated the anti-commandeering doctrine

Prior to 1992



Betting On New Jersey: A NJ Sports Betting Documentary (24:07)





NJ Sports Betting Market

Year	Total Handle	Revenue	Hold Percentage	State Tax Revenue
2018	\$1,247,307,720	\$94,022,392	7.54%	\$11,597,775
2019	\$4,582,898,150	\$299,326,239	6.53%	\$39,594,127
2020	\$6,016,968,399	\$398,521,093	6.62%	\$50,891,397
2024	\$12,811,517,804	\$1,094,630,340	8.4%	\$141,200,000

- Handle** refers to the total amount wagered on sports.
- Revenue** reflects the gross gaming revenue kept by sportsbooks after paying out winning bets.
- Hold percentage** shows how much revenue sportsbooks kept as a function of the betting handle.
- State tax revenue** displays taxes collected by the state and local jurisdictions.

NFL announces Ceasars, DraftKings, FanDuel as first sports betting partners

source says \$1B

<https://www.sportspromedia.com/news/nfl-sports-betting-sponsor-draftkings-fanduel-caesars-fox-bet/>



<https://theathletic.com/news/nfl-announces-caesars-draftkings-fanduel-as-first-sports-betting-partners/ZXVrPZF6hUzC>

NFL adds four more approved sportsbook partners

- The NFL landed secondary deals with PointsBet, BetMGM, FOX Bet, and Wynnbet.
- Partnership deals with the NFL usually run from three to seven years and cost a minimum of \$10 million per year for smaller companies. More prominent firms could pay more than \$200 million per year.



Sports betting becomes legal in Arizona; Phoenix Suns, TPC Scottsdale to build sportsbooks inside venues

- **DraftKings** announced a partnership with the PGA Tour and TPC Scottsdale, which will see the sportsbook open a retail location on-site at the home of the PGA Tour's Waste Management Phoenix Open and its rowdy 16th hole.
- the Phoenix Suns announced a partnership with **FanDuel** that will see the two team up to offer a luxury sportsbook inside Phoenix Suns Arena starting next season.

<https://www.youtube.com/watch?v=Fa8EpAEC5C0>

- With 33 states (39 now as of 2026) currently allowing legal sports gambling, roughly 17 NFL franchises will be permitted to host on-site sportsbooks, the revenue from which they will be able to keep up to a certain threshold -- believed to be up to \$20 million -- before the revenue is pooled and shared with the league's other 31 teams.
- Presently, the Washington Commanders are the only team in the NFL that has a physical sportsbook within their stadium. However, the Arizona Cardinals have a sportsbook just outside of their venue, as does MetLife Stadium, which is home to both the New York Giants and New York Jets.

NFL owners vote to allow physical sportsbooks at stadiums to take bets during games

With 33 states currently allowing legal sports gambling, roughly 17 NFL franchises will be permitted to host on-site sportsbooks



By [Steven Taranto](#) Mar 29, 2023 at 1:55 pm ET • 1 min read





- DraftKings moves forward with in-stadium sportsbook project at Chicago Cubs' Wrigley Field



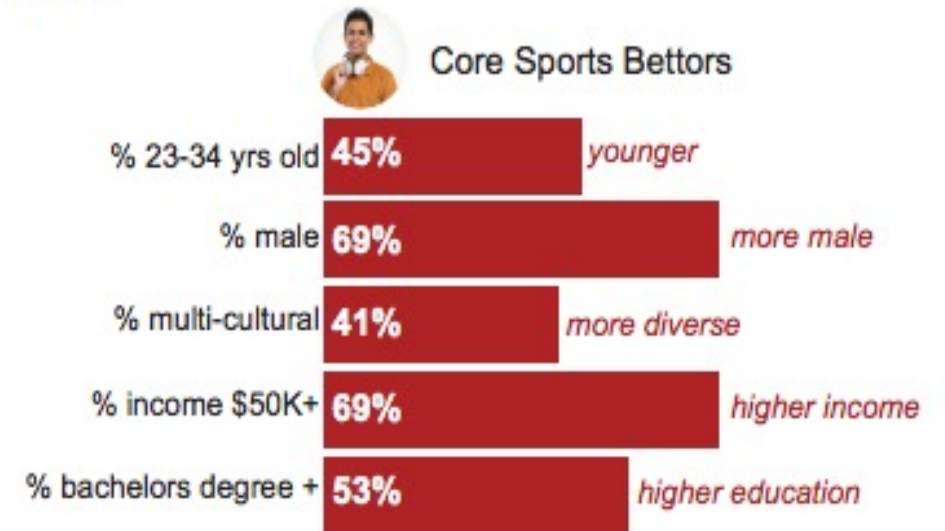
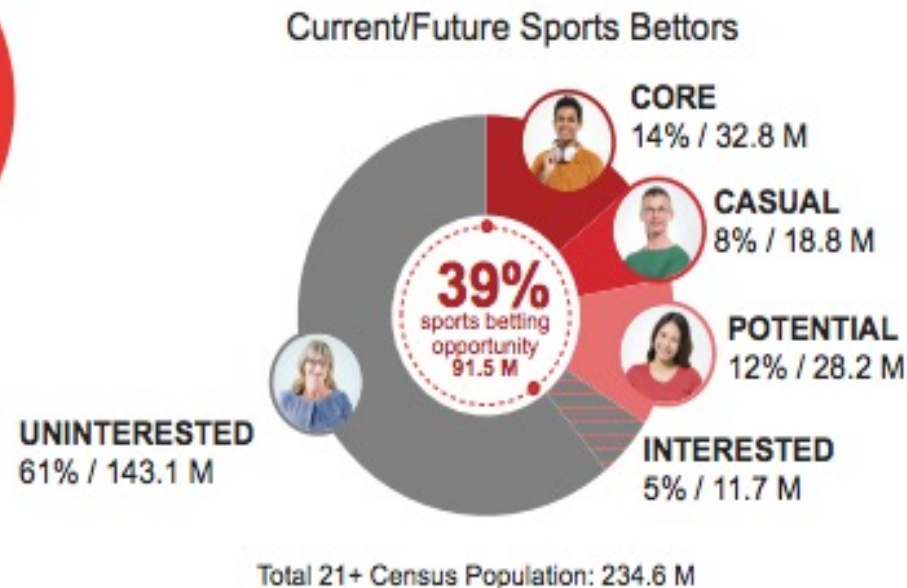
DraftKing shut down in-person sports betting at its Wrigley Field Sportsbook on May 31, 2026

- High operating costs (high taxes)
- Shift to mobile
- Low retail demand

Consumer Movement toward Sports Betting (2019)

Landscape

The size of the sports betting market is significant and diverse.

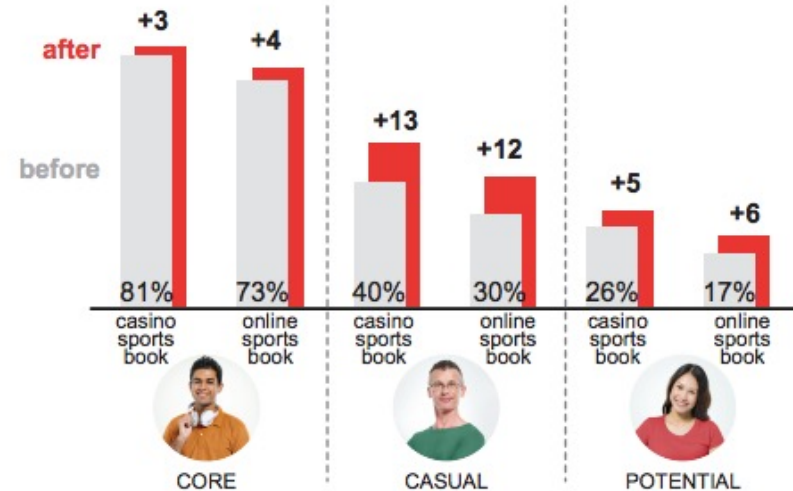


Consumer Movement toward Sports Betting (2019) cont.

Participation

Hearing about repeal and legalization would increase the percentage of consumers who expect to bet on sports.

Percent of Consumers Expecting to Bet on Sports, Next 12 Mo.
Showing Net Change



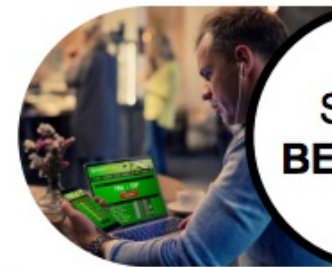
Impact of Legalization on Core Sports Betting Frequency

Has changed since legalization in my state (excluding NV)

placed more bets
46%

Would change if legalized in my state

would place more bets
69%



Sports BETTORS

On average, Core sports bettors are **nearly twice as likely** to be fans of a sport compared to non-bettors.

The results show that there is a cycle and loop of **sports fans** who are likely to become **sports bettors**, and **sports bettors** who are likely to become **sports fans**.



Sports FANS

On average, sports fans are **more than twice as likely** to be Core sports bettors than non-sports fans.

Sports Betting 101: Odds

yahoo/sportsbook | BETMGM



Kansas City Chiefs

Money Line

-350

Point Spread

-7 -110

Total Points

O 54.5 -110



Philadelphia Eagles

+270

+7 -110

U 54.5 -110

Money Line

-350: the odds for favorites have a minus(-) sign in front, and indicate the money you need to risk to win \$100

+270: the odds for underdogs will have a plus(+) sign in front, and indicate the money you will win for every \$100 risked.

Point Spread

-7: Chiefs must win the game by more than 7 points for you to win your bet.

+7: Eagles must win the game, or lose by less than 7 points for you to win your bet

Total Points

O 54.5: In order to win \$100, you must bet \$110 on the overall combined score to be higher than 54.5.

U 54.5: In order to win \$100, you must wager \$110 on the total combined score to be less than 54.5.

Sports Betting 101: Odds cont.

yahoo!sportsbook | BETMGM



Kansas City Chiefs

Money Line

-350

Point Spread

-7 -110

Total Points

O 54.5 -110



Philadelphia Eagles

+270

+7 -110

U 54.5 -110

Scenario

Betting \$100 on Eagles win

Betting \$110 on Eagles losing the game by less than 7 points

Betting \$110 on the overall combined score to be higher than 54

Game outcome:

Eagles 30

Chiefs 42

What is a TOTAL amount of money you win or lose?

How Do Bookmakers Make Money?

- Bookmakers tried to set the line so half the money was bet on each side. If this is the case, the bookmaker cannot lose.
- **Eagles -6 (-110)**
Cowboys +6 (-110)
- **-110** : the money you need to risk to win \$100
- Bookie pays one better \$100 and collects \$110 from the other (\$220)
- Bookmaker wins **\$10** so vig is $10/220 = 0.045 = 4.5\%$
- Vig- 'Vigorish'; typical spread bet (110) have around a 4.5% vig.

Why Odds and Lines Change? Cont.

- Sportsbooks like to get the same amount of money on both sides of a bet so they never lose any money.

The background features a dark blue gradient on the left and a dark grey area on the right. On the right side, there are numerous 3D question marks of varying sizes and orientations, some appearing to be floating or scattered. A large, semi-transparent, light beige circle is positioned on the right side, partially overlapping the 3D question marks. Inside this circle, the word "Questions?" is written in a black, sans-serif font, with a horizontal line underneath it.

Questions?